

2026

NIGERIA PMC

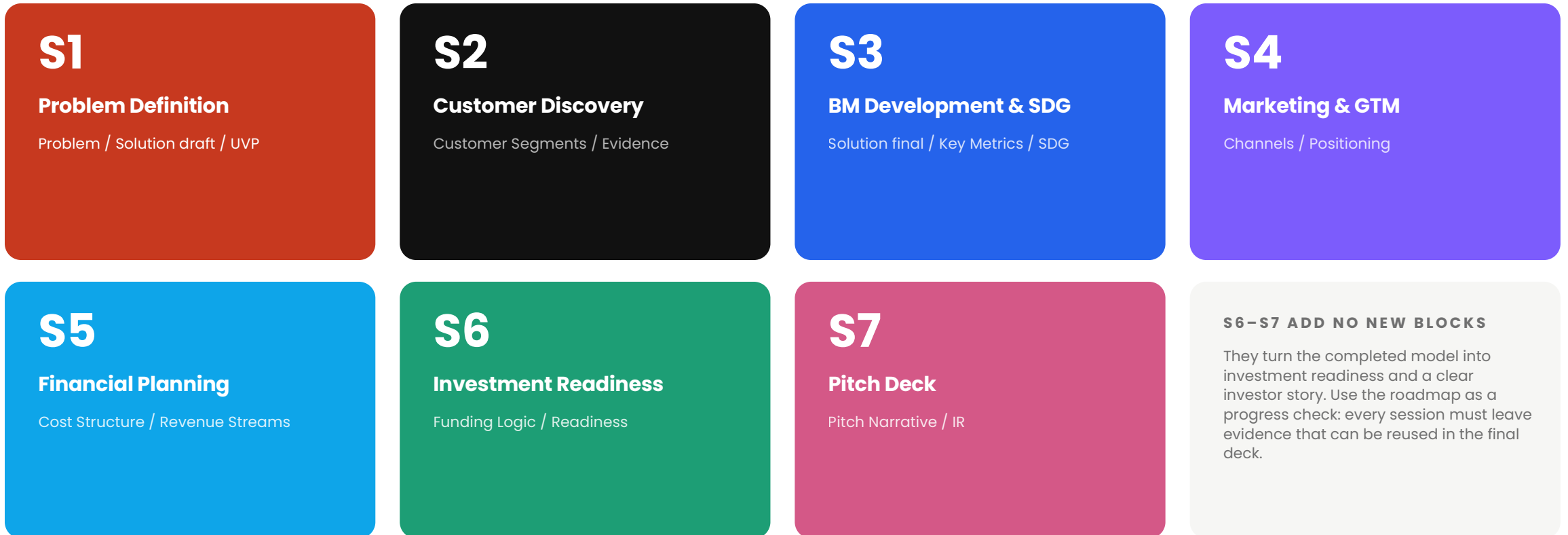
FUNDRAISING & INVESTMENT READINESS

Fundraising & Investment Readiness · **Session 6**

KOICA PMC

Seven Sessions Build One Business Model

S1–S5 complete the 9 blocks. S6–S7 turn the model into investment readiness and investor communication.



**9 BLOCKS BUILT
ACROSS S1–S5**

Problem

Solution

UVP

Segments

Metrics

Channels

Costs

Revenue

Advantage

What This Session Produces

Every session leaves participants with a usable BM artifact.

LESSON GOAL Translate business evidence into investor readiness and milestone-based fundraising.

01

Valuation Readiness

Understand what drives early value.

Explain why this can become investable.

02

Readiness Criteria

Know what investors will examine.

Use this as evidence for the final BM and investor deck.

03

Use of Funds

Connect capital to milestones.

This links capital to concrete milestones.

04

Exit Narrative

Show a plausible liquidity path.

Use this as evidence for the final BM and investor deck.

PART 1

Why Investors Invest

Investment is a risk-return decision.

Investors Ask a Few Core Questions

The deck must answer these with evidence.

01

Problem

Is the pain big and urgent?

02

Market

Can this become large enough?

03

Model

Can value be captured?

04

Traction

Is there evidence of demand?

05

Team

Can this team execute?

06

Exit

Can investors return capital?

Fundraising Is Not Pitching Alone

A good story without readiness creates weak follow-up.

RISK

Pitching

Explaining the opportunity.

BETTER DIRECTION

Readiness

Having evidence, numbers, documents, and investor logic ready.

Different Capital Has Different Expectations

Choose capital that matches stage and risk.

01

Grant

Non-dilutive,
program-oriented.

02

Debt

Repayment and cash-
flow discipline.

03

Angel

Early belief and
network.

04

VC

High growth and exit
potential.

05

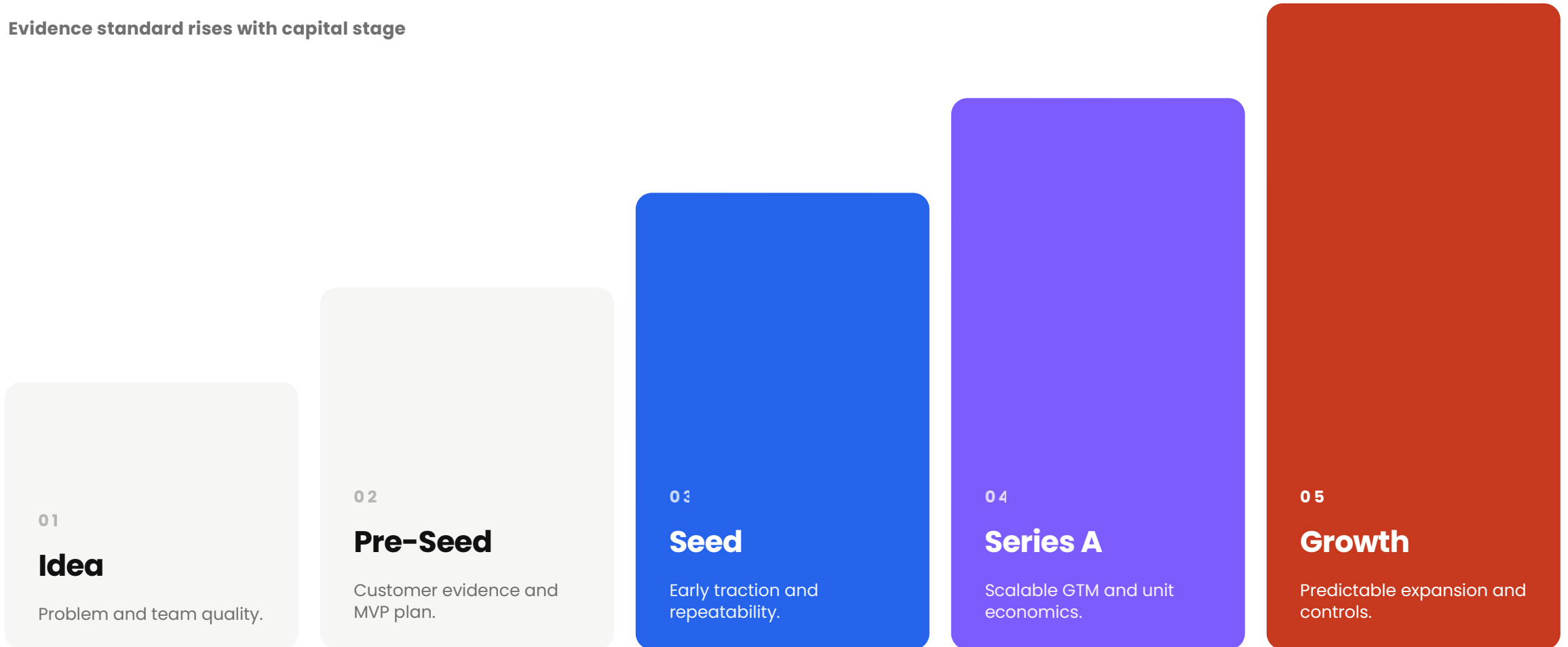
Strategic

Business synergy and
market access.

Stage Defines the Evidence Standard

As stage rises, investors expect stronger proof: from belief to repeatable economics.

Evidence standard rises with capital stage



Early Valuation Is Mostly Risk Reduction

Value rises as evidence reduces risk.

01

Team

Can they execute?

02

Problem Evidence

Is pain real?

03

Traction

Are users behaving?

04

Market

Can it scale?

05

Entry Barrier

Can advantage grow?

Valuation Improves When Specific Risks Fall

Early valuation is rarely a pure formula. It is a negotiation around evidence, risk, and future financing logic.

01 Problem Risk

Reduced when customer pain is repeated, costly, and observable.

Evidence: interview patterns, paid workaround, pilot demand.

02 Market Risk

Reduced when a reachable Beachhead connects to a larger expansion path.

Evidence: bottom-up SOM, channel reach, market comparables.

03 Execution Risk

Reduced when the team has shipped, sold, operated, or partnered in the domain.

Evidence: prior execution, founder-market fit, domain network.

04 Financial Risk

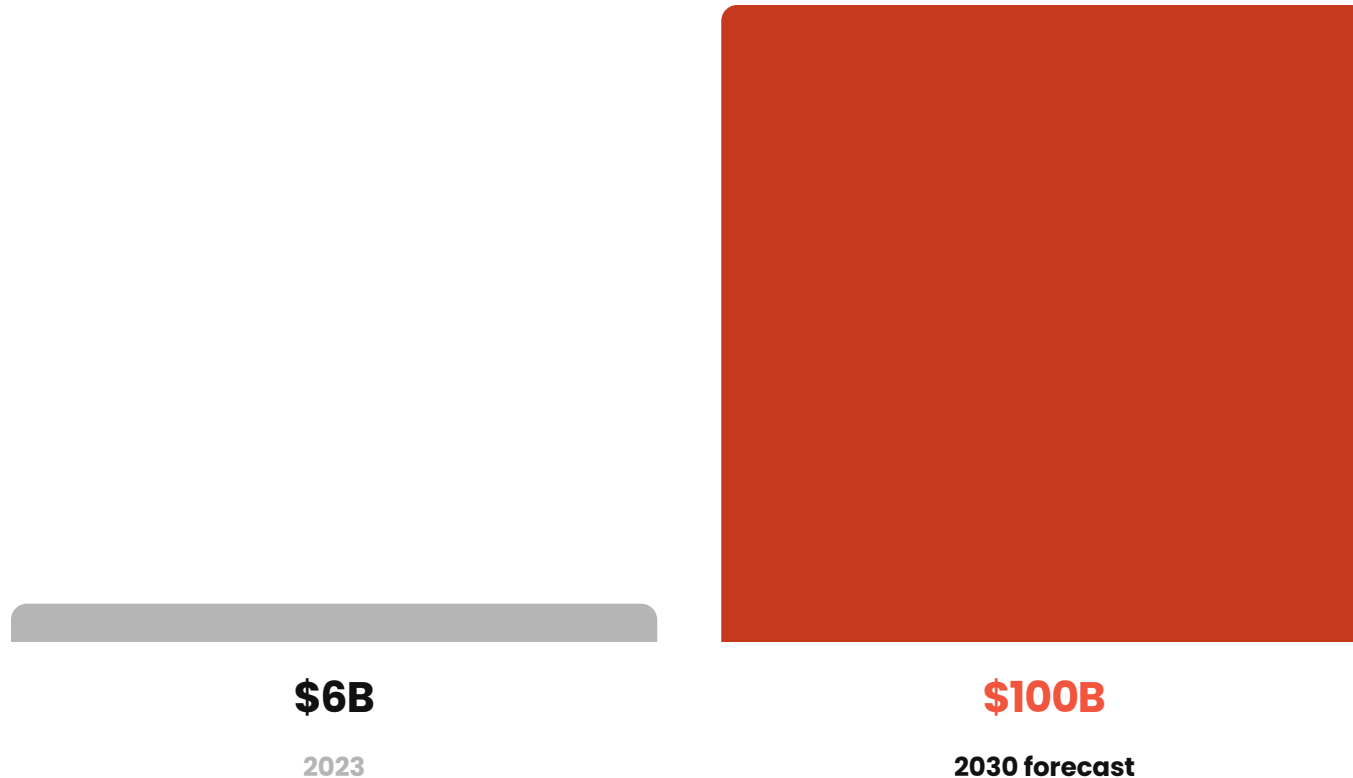
Reduced when pricing, cost, runway, and use of funds are internally consistent.

Evidence: simple model, scenarios, milestone-based funding plan.

GLP-1 Demand Shows a Problem That Does Not Disappear

When the problem is chronic, growing, and expensive, investors discount less problem risk.

Anti-obesity drug market forecast



Problem risk falls when:

- Diabetes and obesity are recurring conditions
- Patients need sustained treatment
- Payers and employers feel the cost
- Better outcomes expand willingness to pay

LESSON

Market value rises when investors believe the pain will keep generating demand.

Market Risk Falls When the Category Becomes Investable

The same company can look more valuable when the market window opens.

CRYPTO CYCLE · FUNDING

Liquidity creates category confidence

2020 → 2021 BULL MARKET
\$6.5B **\$19B**

≈ 2.9x

Venture funding into crypto and blockchain startups rose from about \$6.5B in 2020 to about \$19B in 2021.

DEFENCE TECH · VALUATION

Geopolitics expands buyer urgency

2021–24 → HELSING · 2026
Funding rises **\$18B**

NOTE Valuation, not funding volume — a different unit from the crypto figures. Confirm the source before presenting.

European security concerns pushed defence tech funding higher; Helsing reached a reported \$18B valuation in 2026.

READ IT THIS WAY Market risk falls when capital enters the category. Compare the same unit across periods — funding to funding, valuation to valuation.

Execution Risk Rises When the Team Walks Out

Investors pay for the team that can execute, not only for the idea on paper.

BEFORE • JUN 2023

\$4B headline valuation

Inflection raised \$1.3B; total raised reached about \$1.525B. The investor logic was not only Pi, but a frontier AI team + consumer AI ambition.

MOVE • MAR 19/22 2024

Team moved; company not acquired

Microsoft announced Suleyman and Simonyan joining Microsoft AI on Mar 19. Reports then said most of the 70-person team moved and Microsoft paid about \$650M: \$620M license + ~\$30M legal waiver.

AFTER • VALUE SIGNAL

\$4B Giant to \$650M Waiver

Inflection did not disappear: it stayed independent under Sean White and pivoted to enterprise/API. But the economic signal fell from a \$4B venture story to a ~\$650M license/waiver package, about 16% of the prior valuation.

INVESTORS ASK If the core team leaves, what asset, process, customer base, or contract still remains?

LESSON Execution risk is key-person risk plus team-continuity risk.

Financial Risk Falls When Cash Converts Fast

A strong model reduces the chance that growth itself creates a funding crisis.

What investors look for

Cash collected before cash spent

High repeat purchase or subscription

Low receivables delay

Inventory turns fast

Clear reserve discipline

Costco model

\$4.8B

FY2024 MEMBERSHIP FEES

Membership fees are paid upfront, while rapid inventory turnover keeps cash moving. That makes growth less fragile.

Investor translation

When payback is fast and cash controls are visible, investors need a smaller risk discount.

Lower burn pressure → higher valuation confidence

Tesla Model 3 Reservations as Investment Readiness Evidence

The financing lesson: committed demand can eliminate a key investor risk and make financing easier to justify.

24H SIGNAL

180k

reservations within 24 hours; each required a \$1,000 deposit.

ONE-WEEK PROOF

325k+

reservations after one week; demand became measurable evidence.

CASH INTENT

\$325M+

refundable deposits, not revenue — but a strong customer-commitment signal.

SALES LOGIC

\$14B

Tesla's implied future sales estimate from the first-week reservations.

01

Committed Demand

A refundable deposit still required action. Customers were willing to put money down before production.

02

Market Proof

Tesla could show demand intensity with numbers, not only press attention or founder optimism.

03

Financing Logic

By May 15, Tesla reported 373k net reservations and used the demand signal while raising capital for Model 3 production.

04

Risk Elimination

Visible demand turned market-risk questions into evidence investors could underwrite.

LESSON FOR FOUNDERS Investment readiness is proof that a specific investor risk is being eliminated. Evidence makes that visible.

Valuation Is Not Just a Number

It reflects evidence, negotiation, and future expectations.

RISK

Weak Basis

We need this amount; competitors raised more.

BETTER DIRECTION

Strong Basis

Milestones, traction, market logic, and financing plan support the number.

PART 2

Investment Readiness Materials

Prepare what investors will ask after interest.

Readiness Means Having Materials Ready

Follow-up speed affects trust.

01

Pitch Deck

Clear 10–15 page story.

02

Financial Model

Assumptions visible.

03

Traction Evidence

Users, pilots, revenue, LOIs.

04

Legal Basics

Incorporation, cap table, IP.

05

Use of Funds

Capital tied to milestones.

Each Data Room Item Answers a Risk Question

Organize materials around what the investor must believe before wiring money.

01 Pitch Deck

ANSWERS

What is the opportunity, why now, why this team?

02 Financial Model

ANSWERS

Can the business survive, scale, and use capital logically?

03 Traction Evidence

ANSWERS

Are customers behaving in a way that reduces market risk?

04 Legal Basics

ANSWERS

Is the company investable without avoidable legal friction?

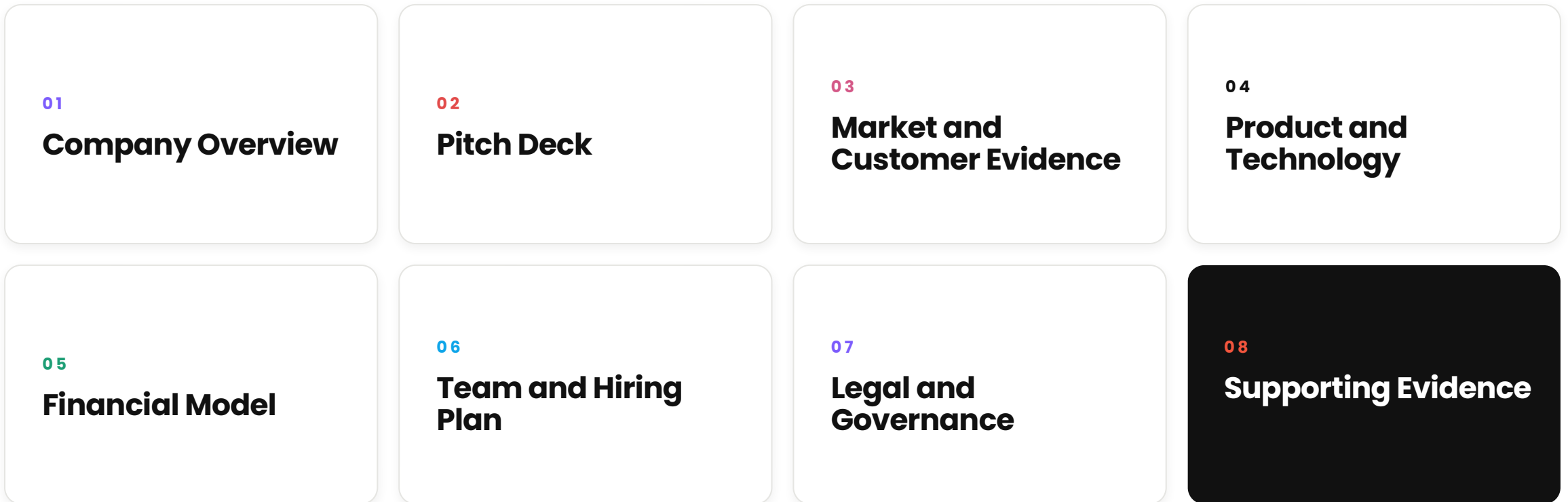
05 Use of Funds

ANSWERS

Which milestone will this money buy and what risk will fall?

Data Room Sections at a Glance

Show the whole structure first, then explain each section in detail.



WHY IT MATTERS Good data rooms reduce investor friction: fewer follow-up questions, faster trust, cleaner due diligence.

Data Room Sections Investors Expect: 1–4

The first half should explain the company, model, market evidence, and product readiness.

01 1. Company Overview

One-page summary, incorporation status, cap table snapshot, and current round information.

Investor question: what exactly is being funded?

02 2. Business Model

9 blocks, revenue logic, pricing, unit economics, and core assumptions.

Investor question: how does value become money?

03 3. Market and Traction

Bottom-up market logic, customer evidence, pilots, revenue, usage, LOIs, and pipeline.

Investor question: is demand real and reachable?

04 4. Product and Tech

Demo, roadmap, architecture, IP status, integrations, and product metrics.

Investor question: can the team build and maintain this?

Data Room Sections Investors Expect: 5–8

The second half should make due diligence faster by proving finance, team, legal, and supporting evidence are organized.

01 5. Financial Model

Revenue, cost, runway, scenarios, cash plan, and use-of-funds linkage.

Investor question: how long does capital last and what does it prove?

02 6. Team and Hiring

Founder-market fit, execution record, org plan, hiring gaps, advisor or partner network.

Investor question: why this team now?

03 7. Legal and Compliance

Contracts, licenses, regulatory issues, IP, privacy, major liabilities, and corporate documents.

Investor question: can investment proceed without hidden blockers?

04 8. Appendix Evidence

Customer quotes, research notes, case references, product screenshots, partner documents, and supporting analysis.

Investor question: what proof sits behind the claims?

Use of Funds

Investors want to see how the money is spent over time and which milestone it buys.

01

R&D

Prototype, testing

02

Raw Material

Initial inventory

03

Server

Cloud and tools

04

PM / Salary

Execution capacity

05

Marketing

Paid acquisition

Example Fund Disbursement Plan

ITEM	PURPOSE	MONTH 1	MONTH 2	MONTH 3	MONTH 4	MONTH 5	MONTH 6
R&D	Prototype, testing	\$18k	—	—	—	—	—
Raw Material	Initial inventory	—	\$22k	—	—	—	—
Server	Cloud and tools	\$6k	\$6k	\$6k	\$6k	\$6k	\$6k
PM	Execution capacity	\$24k	\$24k	\$24k	\$24k	\$24k	\$24k
Marketing	Paid acquisition	—	—	\$15k	\$15k	\$15k	\$15k
— Facebook		—	—	\$8k	\$8k	\$8k	\$8k
— Google		—	—	\$7k	\$7k	\$7k	\$7k
Salary	Team	\$42k	\$42k	\$42k	\$42k	\$42k	\$42k

A Strong Use of Funds Slide Converts Money Into Proof

Do not say the money is for 'marketing and operations.' Explain what risk each spending category reduces.

01 Product

What must be built or improved to prove the core workflow?

Milestone example: launch MVP v2, reduce onboarding time, improve transaction success.

02 GTM

What channel or segment will be tested until repeatability appears?

Milestone example: acquire 500 target merchants with CAC below X.

03 Team

Which hire unlocks a bottleneck that founders cannot solve alone?

Milestone example: compliance lead, growth operator, senior engineer, field ops manager.

04 Runway

How many months of learning does the round buy, and what must be true before the next round?

Milestone example: 18 months to reach revenue, retention, or transaction target.

Funding Ask Logic

Connect capital to proof.

We are raising **[amount]** to reach **[milestones]** within **[months]**, proving **[next risk reduction]**.

01

Amount

Capital needed

02

Milestone

What changes

03

Timeline

Runway

04

Risk Reduced

Why value increases

Choose Investors by Fit

Not every investor is a useful investor.

01

Stage Fit

They invest at your stage.

02

Sector Fit

They understand your market.

03

Geo Fit

They can support your region.

04

Value Fit

They bring network or expertise.

05

Check Size

Their ticket matches your round.

Investor Communication Is a Process

One meeting rarely closes funding.

01

Intro

Warm path or targeted outreach.

02

First Call

Problem, traction, fit.

03

Follow-Up

Send deck, model, evidence.

04

Due Diligence

Answer detailed questions.

05

Commitment

Terms, timing, and next steps.

What Investors Check During Due Diligence

Due diligence converts investor interest into evidence-based conviction.

01

Company and Legal

Incorporation, cap table, founder agreements, IP ownership, compliance.

02

Finance

Revenue, costs, runway, tax, bank records, use of funds, scenario assumptions.

03

Market and Traction

Customer evidence, retention, LOIs, pilots, pipeline quality, churn.

04

Team and Execution

Hiring plan, founder roles, key-person risk, references, operating rhythm.

LESSON The faster you can answer diligence questions, the more investable you feel.

PART 3

Exit and Strategy

Investors need to imagine how value is returned.

Not a Free Money

What investment really means for your company

MORE CAPITAL

**Raising more capital by offering
future value of your company**

INVESTMENT

Achieving your plans faster

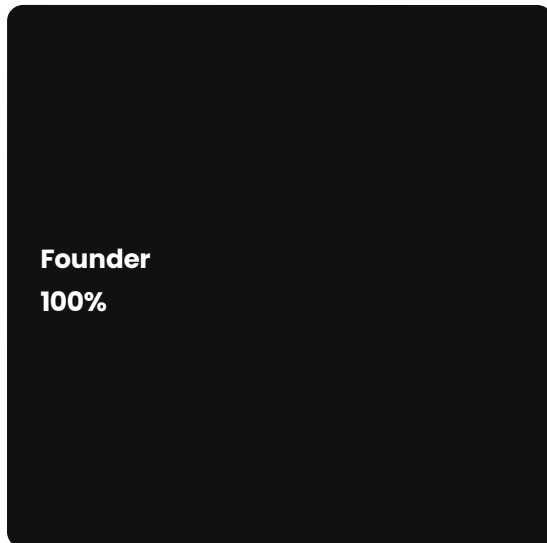
Equity & Share

How ownership shifts as you raise more rounds

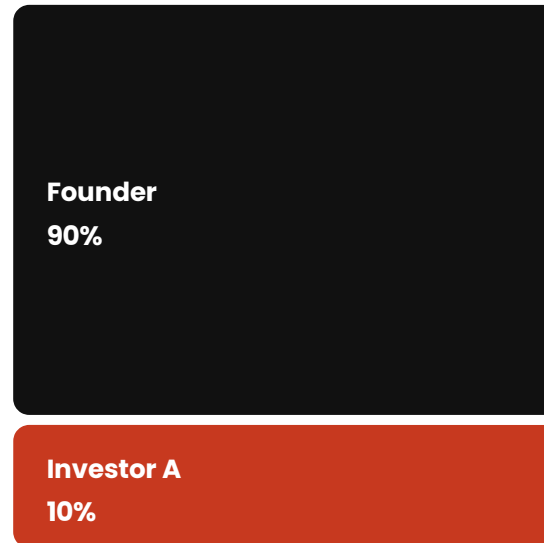
Equity (Share) = Ownership of the Company

More Equity = More Influence in Decision Making

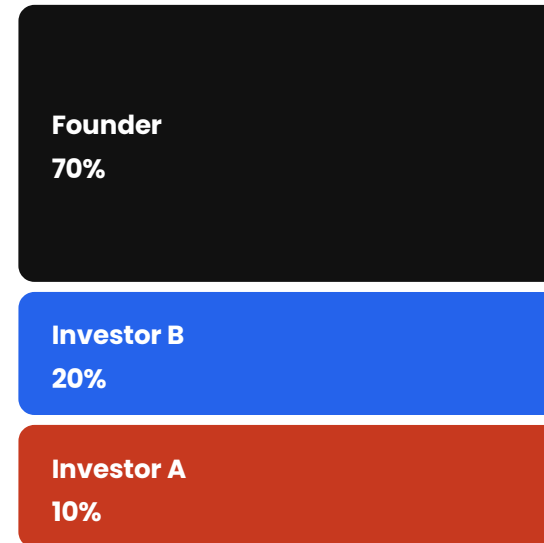
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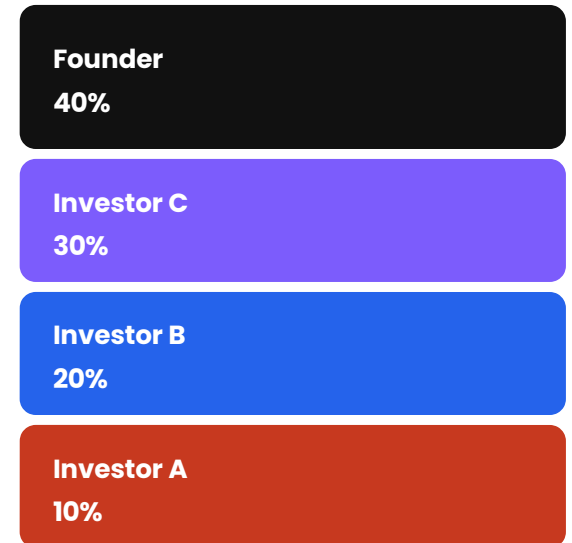
R1



R2



R3



Investments may not always be something positive

Three Common Early-Stage Investment Instruments

The structure decides when valuation is fixed, what investors receive, and how founder ownership changes.

01

SAFE

Simple agreement for future equity. It converts into shares later using a valuation cap, discount, or both.

Best when speed matters and valuation is too early.

02

Convertible Bond / Note

Debt that can convert into equity later. It has principal, interest, maturity, discount, and sometimes a cap.

Best when investors want debt-like downside protection.

03

RCPS

Redeemable convertible preferred shares. Investors buy preferred shares with conversion and protection terms.

Best when the round is priced and rights must be clear.

SAFE Keeps the Round Fast, But Delays the Final Ownership Math

A SAFE is not a loan and not immediate ordinary shares; it is a promise to receive future shares.

CASE STUDY

SAFE

A SAFE is not a loan and not immediate ordinary shares; it is a promise to receive future shares.

TEACHING LENS

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 What investor receives

The right to convert into equity when a priced round happens, usually with a valuation cap, discount, or MFN clause.

02 What founders gain

Speed, fewer negotiation points, and no need to agree a full valuation before enough evidence exists.

03 What founders must watch

The cap and discount can create more dilution than expected when several SAFEs stack before the next round.

04 Why investors use it

They can enter early while receiving upside protection if the next priced round happens at a higher valuation.

How a SAFE Converts in the Next Priced Round

Use a simple number example to show why the cap matters.

01

Today

Investor puts in \$100k on a SAFE with a \$2M valuation cap.

02

Next Round

A new VC prices the company at \$5M pre-money.

03

Conversion

The SAFE converts as if valuation were \$2M, so the investor receives more shares than a \$5M entry would give.

04

Why Chosen

Founder avoids pricing too early; investor receives reward for taking earlier risk.

KEY POINT

SAFE is useful for speed, but founders must track stacked dilution before signing multiple SAFEs.

Convertible Bonds Mix Debt Protection With Equity Upside

They are common when investors want more downside protection than a SAFE.

CASE STUDY

CB

They are common when investors want more downside protection than a SAFE.

TEACHING LENS

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 What investor receives

A debt claim that can convert into shares later, usually with interest, maturity date, discount, and sometimes a valuation cap.

02 What founders gain

Capital before a priced round, while delaying final valuation until more evidence is available.

03 What founders must watch

Maturity creates pressure: if the next round is delayed, repayment or renegotiation can become a real risk.

04 Why investors use it

They get equity upside if the company grows, plus debt terms that clarify what happens if financing is delayed.

How a Convertible Bond Turns Into Shares

The same investment can convert differently depending on discount, cap, and timing.

01

Today

Investor lends \$100k as a convertible bond with 8% interest and 20% discount.

02

After 12 Months

Principal plus interest becomes \$108k before conversion.

03

Priced Round

If new investors buy shares at \$1.00, the bond may convert at \$0.80 because of the 20% discount.

04

Why Chosen

Investor receives early-risk reward; founder raises before a full equity round.

KEY POINT Convertible debt is flexible, but the maturity date makes timing and repayment risk more serious than a SAFE.

RCPS Fixes Valuation and Gives Investors Preferred Rights

Preferred shares are more formal because the company and investor agree the round price now.

CASE STUDY

RCPS

Preferred shares are more formal because the company and investor agree the round price now.

TEACHING LENS

Read the case as a decision: what pain was real, what evidence mattered, and what can transfer to the team's own model?

01 What investor receives

Preferred shares that may include liquidation preference, conversion rights, anti-dilution protection, voting rights, and redemption terms.

02 What founders gain

A clearer priced round, stronger signal to later investors, and a formal cap table update.

03 What founders must watch

Preference and protection terms can change who gets paid first and how much control founders keep.

04 Why investors use it

They want clear shareholder rights, downside protection, and a defined ownership percentage from the investment date.

How RCPS Sets Valuation and Ownership Now

A priced round makes dilution visible immediately, but the rights need careful reading.

01

Pre-Money

Company is valued at \$2M before the new money.

02

Investment

Investor puts in \$500k through RCPS.

03

Post-Money

Post-money valuation becomes \$2.5M, so investor owns 20% before option pool or later dilution adjustments.

04

Why Chosen

Investor gets preferred rights; founder gets a clean priced round later investors can understand.

KEY POINT

RCPS is clearer than deferred instruments, but liquidation preference and anti-dilution terms can matter more than headline valuation.

BATNA: Know Your Walk-Away Before the Term Sheet

Good investment terms start before negotiation: define the fallback, reserve line, and tradeable concessions.

A

Best Alternative

What we do if no deal happens

R

Reserve Line

The minimum terms we can accept

Z

ZOPA

Where founder and investor ranges overlap

D

Term Decision

Accept, counter, or walk away

BATNA turns negotiation from needing investment into knowing which deal is worth taking.

BATNA Is Not a Better Offer; It Is Your No-Deal Plan

In an investment round, the fallback can be revenue, grants, another investor, a bridge, or slowing burn.

01

What BATNA means

Best Alternative to a Negotiated Agreement: the best action you can take if this investor deal does not close.

02

Why it matters

Without BATNA, founders accept bad terms because they feel trapped. With BATNA, they can compare the deal to a real option.

03

Investor logic

Investors sense urgency. A stronger fallback makes you more credible, not more arrogant.

TYPICAL FOUNDER BATNAS

Extend runway · close customer revenue · apply for grant · talk to other investors · renegotiate supplier terms · delay hiring

Investment Negotiation Is More Than Valuation

A high valuation can still be a bad deal if control, preference, and downside terms are harmful.

TERM	FOUNDER WANTS	INVESTOR WANTS	TRADEABLE QUESTION
Valuation	Less dilution	Enough ownership	Can milestones justify the number?
Instrument	Simple and fast	Downside protection	SAFE, CB, or RCPS?
Liquidation pref.	Clean cap table	Capital protection	What happens in a low exit?
Control rights	Operating freedom	Governance visibility	Which approvals are reasonable?
Information rights	Low admin load	Regular reporting	What reporting cadence builds trust?

Score Your Fallback Options Before the Investor Meeting

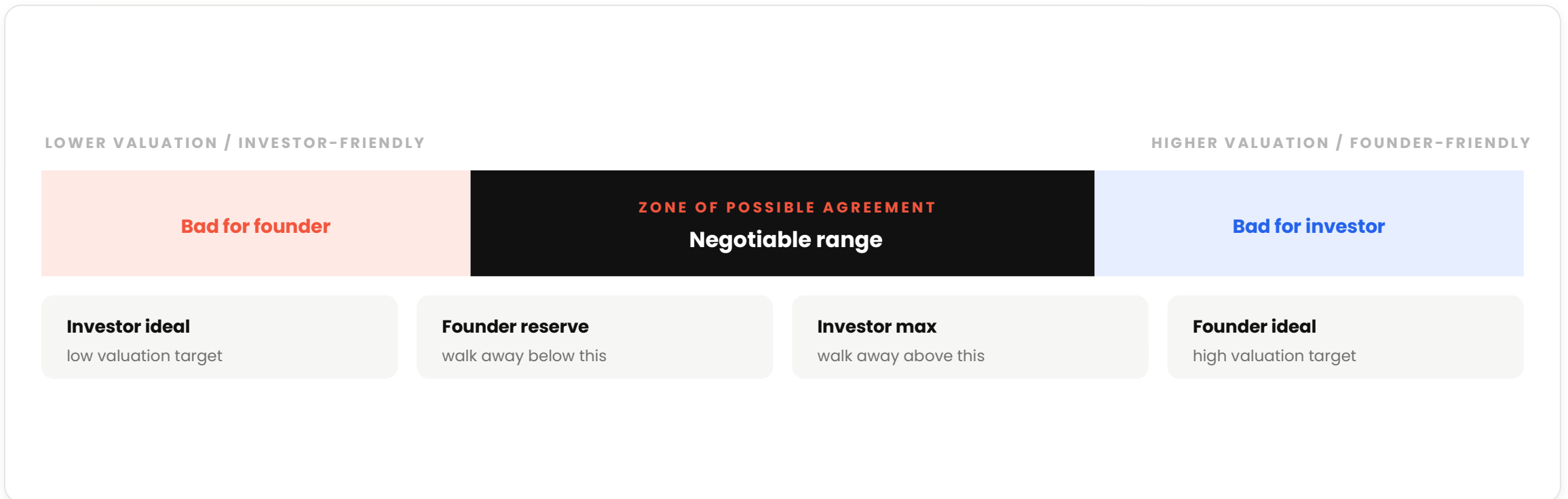
The best fallback is not always the biggest money source; it is the option that preserves survival, leverage, and momentum.

FALLBACK OPTION	CASH / RUNWAY	MILESTONE UNLOCKED	LIKELIHOOD	DOWNSIDE	SCORE
Customer revenue push	_____ months	_____ milestone	High / Med / Low	Main risk: _____	___/10
Grant / non-dilutive fund	_____ months	_____ milestone	High / Med / Low	Main risk: _____	___/10
Bridge from angel	_____ months	_____ milestone	High / Med / Low	Main risk: _____	___/10
Strategic partnership	_____ months	_____ milestone	High / Med / Low	Main risk: _____	___/10
Reduce burn + extend runway	_____ months	_____ milestone	High / Med / Low	Main risk: _____	___/10

TEAM RULE **Do not enter a term-sheet discussion without at least two credible fallback options.**

Agreement Only Exists Where Founder and Investor Ranges Overlap

Your BATNA defines the line where walking away is better than accepting the deal.



If there is no overlap, do not force agreement. Improve BATNA, change terms, or wait.

Practice the Negotiation Before the Real Meeting

Teams play founder and investor roles, trade concessions, then decide whether the term sheet beats the BATNA.

Founder Cards

Funding need

Reserve terms

Must-keep rights

Investor Cards

Ownership target

Risk concerns

Protection rights

Trade Zone

Valuation

Instrument

Control

Timing

Walk-away Line

BATNA score

Minimum terms

No-deal option

GAME CONDITION

A deal is accepted only if it is better than the founder BATNA and still investable for the investor.

Exit Strategy Is a Plausible Direction

Early startups do not need certainty, but need logic.

01

M&A

Strategic buyer gains product, customers, or geography.

02

Secondary

Later investors buy earlier shares.

03

IPO

Rare, requires scale and market maturity.

04

Cashflow

May fit non-VC capital better.

05

Strategic Partnership

Can evolve into acquisition.

Nigeria Exit Routes Are Broader Than Paystack

Investors do not need certainty, but they need a plausible path to liquidity.

01

Strategic M&A

Buyer wants product, infrastructure, licenses, customers, or geography.

02

PE / Growth Sale

Financial buyer or later-stage investor buys into a scaled, cash-generating asset.

03

IPO / Public Market

Rare, but possible when scale, governance, and reporting discipline are high.

04

pan-African strategic acquisition / De-pan-African strategic acquisition

A public-market shortcut, but diligence risk is high and Africa examples remain limited.

IPO Exits Require Scale and Reporting Discipline

Public listing can create liquidity, but it raises the evidence standard sharply.

Jumia • NYSE IPO

\$14.50

OPENING SHARE PRICE, 2019

Pan-African e-commerce company listed on NYSE in 2019. Shares opened at \$14.50 and the IPO became a reference point for African tech exits.

Investor lesson: IPO is possible, but post-listing performance depends on real unit economics and trust.

IHS Towers • NYSE IPO

~\$7B

LISTING VALUATION, 2021

Nigeria-based telecom tower operator listed on the NYSE in 2021 at nearly \$7B valuation, showing infrastructure scale can reach global markets.

Investor lesson: public-market exits need governance, audited numbers, and durable cash-flow logic.

Strategic and PE Exits Are Often More Realistic

For Nigerian startups, liquidity often comes from buyers seeking market access, infrastructure, or financial rails.

Paystack → Stripe

\$200M+

acquisition

Strategic buyer wanted African payments infrastructure.

MainOne → Equinix

\$320M

enterprise value

Global infrastructure buyer entered West Africa through an operating asset.

Interswitch → Helios / Visa

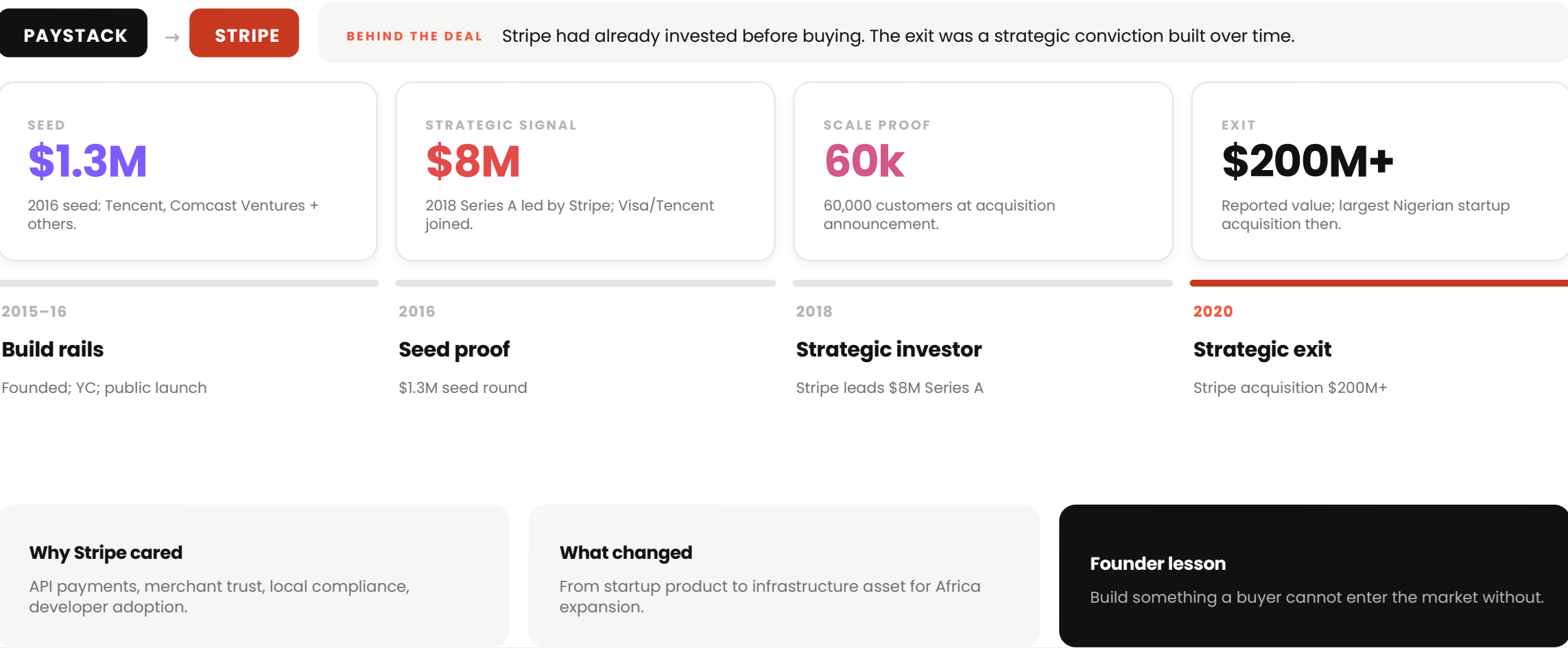
\$110M

PE control; \$1B valuation later

PE scaled a Nigerian payments leader; Visa investment validated strategic value.

Paystack → Stripe: Exit Built on Rails, Trust, and Market Entry

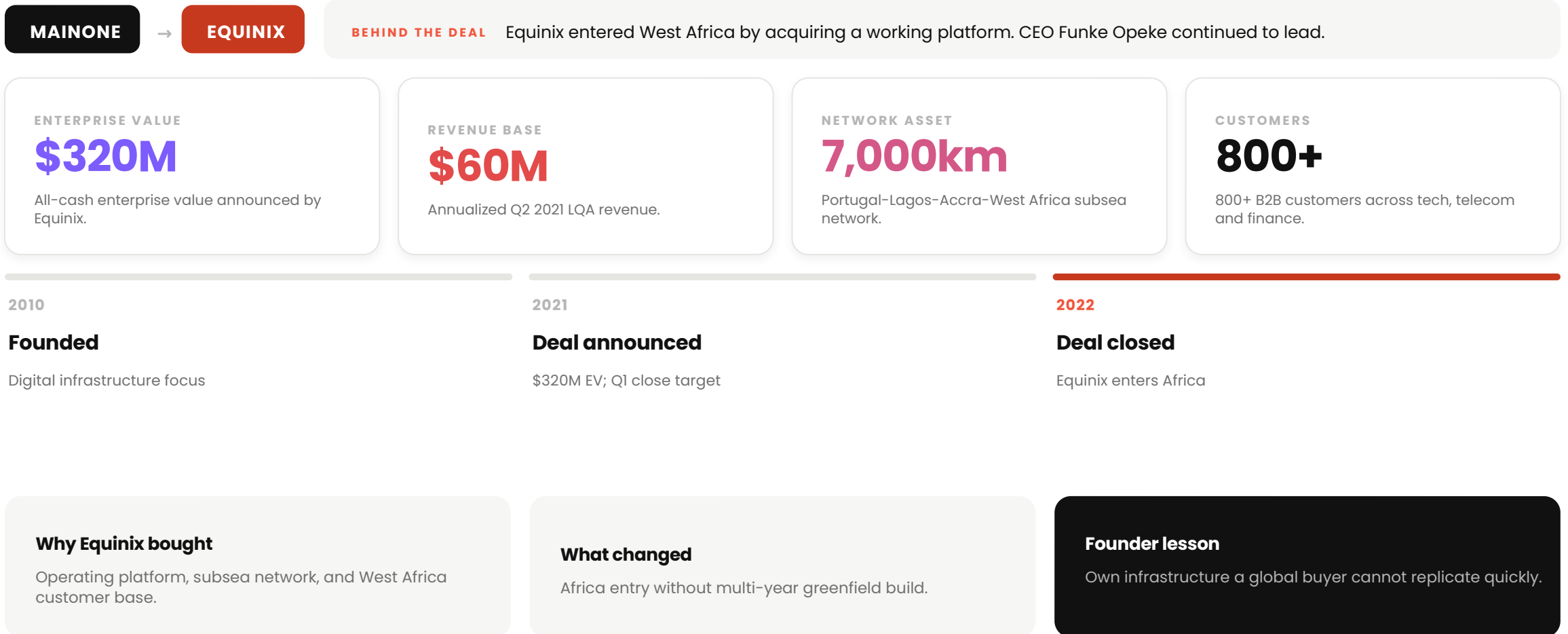
Strategic buyers pay when a startup gives them faster market entry than building alone.



Source: TechCrunch on Paystack acquisition; Paystack Series A announcement; Africa Global Funds/Forbes seed reporting

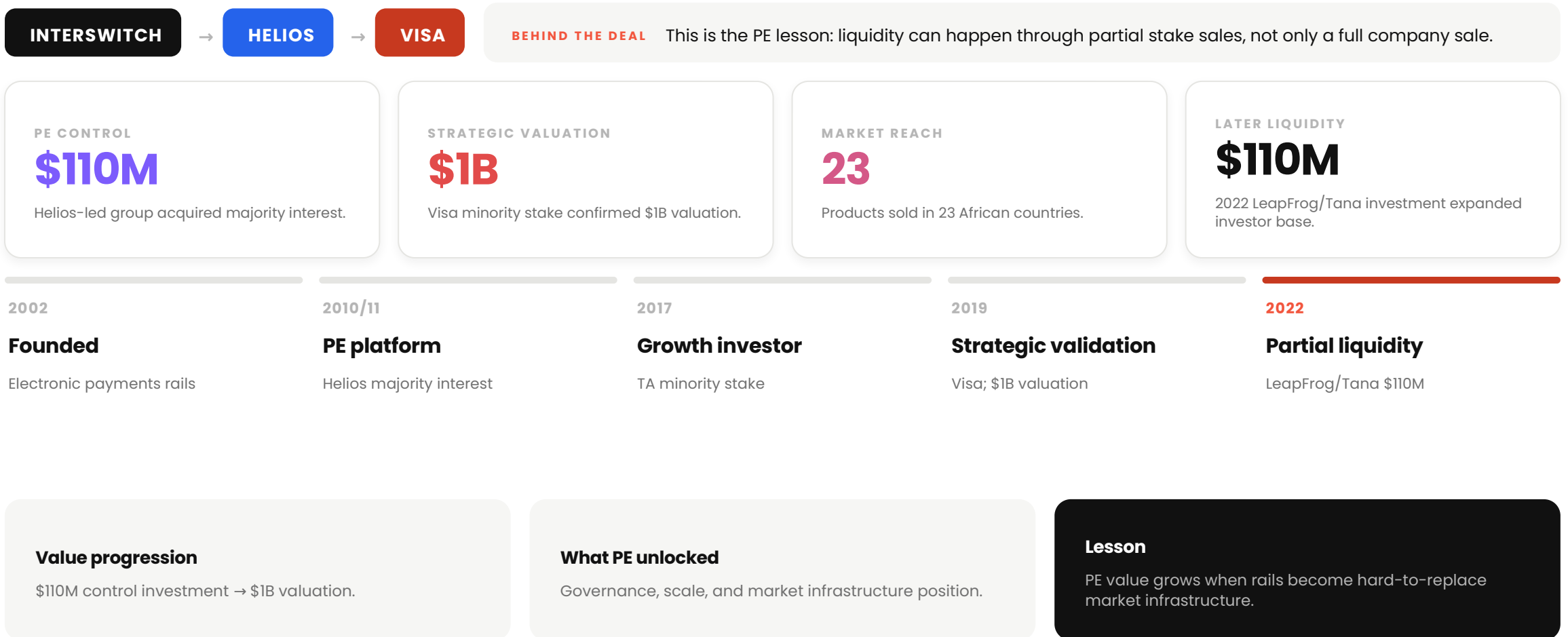
MainOne → Equinix: Infrastructure Became an Africa Entry Point

Equinix bought operating digital infrastructure, customers, and regional access instead of building from zero.



Interswitch: PE Exit Can Happen Through Multiple Liquidity Events

PE-backed liquidity can come through secondary sales, strategic stakes, and IPO readiness rather than one final sale.



Next Session — Pitch Deck Development

The pitch deck converts business model evidence into a story investors can understand, remember, and discuss.